



Manage operational risk

D2.TTO.CL4.11

Assessor Manual



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Assessor Manual



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& hospitality

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Table of contents

Competency Based Assessment (CBA) – An Introduction for Assessors.....	1
Competency standard.....	11
Oral questions.....	23
Written questions	29
Answers to written questions	37
Observation checklist.....	43
Third Party Statement.....	47
Competency recording sheet	49

Competency Based Assessment (CBA) – An Introduction for Assessors

Assessment is the process of identifying a participant's current knowledge, skills and attitudes sets against all elements of competency within a unit of competency.

Suggested Assessment Methods

For each unit of competency a number of assessment tools have been identified including:

- Work Projects
- Oral Questions
- Written Questions
- Third Party Statements
- Observation Checklists.

Instructions and Evidence Recording Sheets have been identified in this Assessment Manual for use by Assessors.

Alternative Assessment Methods

Whilst the above mentioned assessment methods are suggested assessment methods, the assessor may use an alternate method of assessment taking into account:

- a) The nature of the unit
- b) The strengths of participants
- c) The number of participants in the class
- d) Time required to complete assessments
- e) Time dedicated to assessment
- f) Equipment and resources required.

Alternate assessment methods include:

- Practical demonstrations
- Practical demonstrations in simulated work conditions
- Problem solving
- Portfolios of evidence
- Critical incident reports
- Journals
- Oral presentations
- Interviews
- Videos
- Visuals/slides/audiotapes
- Case studies

- Log books
- Projects and Role plays
- Group projects
- Recognition of Prior Learning.

Whilst there is no specific instruction or evidence collection documents for all the alternative assessment methods, assessors can record competency in the 'Other' section within the 'Competency Recording Sheet'.

Selection of Assessment Methods

Each assessor will determine the combination of Assessment Methods to be used to determine Competency for each Competency Unit on a student by student basis.

'Sufficient' evidence to support the 'Pass Competent'/'Not Yet Competent' decision must be captured.

In practice this means a minimum of 2 – 3 Assessment Methods for each candidate for each Competency Element is suggested.

At least one method should provide evidence of practical demonstration of competence.

The following assessment methods deemed to provide evidence of practical demonstration of competence include:

- Practical Work Projects
- Third Party Statement
- Observation Checklist.

Assessing Competency

Competency based assessment does not award grades, but simply identifies if the participant has the knowledge, skills and attitudes to undertake the required task to the specified standard.

Therefore, when assessing competency, an assessor has two possible results that can be awarded:

- 'Pass Competent' (PC)
- 'Not Yet Competent' (NYC).

Pass Competent (PC)

If the participant is able to successfully answer or demonstrate what is required, to the expected standards of the performance criteria, they will be deemed as 'Pass Competent' (PC).

The assessor will award a 'Pass Competent' (PC) if they feel the participant has the necessary knowledge, skills and attitudes in all assessment tasks for a unit.

Not Yet Competent' (NYC)

If the participant is unable to answer or demonstrate competency to the desired standard, they will be deemed to be 'Not Yet Competent' (NYC).

This does not mean the participant will need to complete all the assessment tasks again. The focus will be on the specific assessment tasks that were not performed to the expected standards.

The participant may be required to:

- a) Undertake further training or instruction
- b) Undertake the assessment task again until they are deemed to be 'Pass Competent'.

Regional Qualifications Framework and Skills Recognition System

The 'Regional Qualifications Framework and Skills Recognition System', also known as the 'RQFSRS' is the overriding educational framework for the ASEAN region.

The purpose of this framework is to provide:

- A standardised teaching and assessment framework
- Mutual recognition of participant achievement across the ASEAN region. This includes achievement in individual Units of Competency or qualifications as a whole.

The role of the 'RQFSRS' is to provide, ensure and maintain 'quality assurance' across all countries and educational providers across the ASEAN region.

Recognition of Prior Learning (RPL)

Recognition of Prior Learning is the process that gives current industry professionals who do not have a formal qualification, the opportunity to benchmark their extensive skills and experience against the standards set out in each unit of competency/subject.

This process is a learning and assessment pathway which encompasses:

- Recognition of Current Competencies (RCC)
- Skills auditing
- Gap analysis and training
- Credit transfer.

Code of Practice for Assessors

This Code of Practice provides:

- Assessors with direction on the standard of practice expected of them
- Candidates with assurance of the standards of practice expected of assessors
- Employers with assurance of the standards maintained in the conduct of assessment.

The Code detailed below is based on the International Code of Ethics and Practice (The National Council for Measurement in Education [NCME]):

- The differing needs and requirements of the person being assessed, the local enterprise and/or industry are identified and handled with sensitivity
- Potential forms of conflict of interest in the assessment process and/or outcomes are identified and appropriate referrals are made, if necessary
- All forms of harassment are avoided throughout the planning, conducting, reviewing and reporting of the assessment outcomes
- The rights of the candidate are protected during and after the assessment

- Personal and interpersonal factors that are not relevant to the assessment of competency must not influence the assessment outcomes
- The candidate is made aware of rights and process of appeal
- Evidence that is gathered during the assessment is verified for validity, reliability, authenticity, sufficiency and currency
- Assessment decisions are based on available evidence that can be produced and verified by another assessor
- Assessments are conducted within the boundaries of the assessment system policies and procedures
- Formal agreement is obtained from both the candidate and the assessor that the assessment was carried out in accordance with agreed procedures
- The candidate is informed of all assessment reporting processes prior to the assessment
- The candidate is informed of all known potential consequences of decisions arising from an assessment, prior to the assessment
- Confidentiality is maintained regarding assessment results
- The assessment results are used consistently with the purposes explained to the candidate
- Opportunities are created for technical assistance in planning, conducting and reviewing assessment procedures and outcomes.

Instructions and Checklist for Assessors

Instructions

General instructions for the assessment:

- Assessment should be conducted at a scheduled time that has been notified to the candidate
- Facilitators must ensure participants are made aware of the need to complete assessments and attend assessment sessions
- If a participant is unable to attend a scheduled session, they must make arrangements with the Assessor to undertake the assessment at an alternative time
- At the end of the assessment the Assessor must give feedback and advise the participant on their PC/NYC status
- Complete the relevant documentation and submit to the appropriate department.

Preparation

- Gain familiarity with the Unit of Competency, Elements of Competency and the Performance Criteria expected
- Study details assessment documentation and requirements
- Brief candidate regarding all assessment criteria and requirements.

Briefing Checklist

- Begin the assessment by implementing the following checklist and then invite the candidate to proceed with assessment.

Checklist for Assessors

Prior to the assessment I have:	Tick (✓)	Remarks
Ensured the candidate is informed about the venue and schedule of assessment.		
Received current copies of the performance criteria to be assessed, assessment plan, evidence gathering plan, assessment checklist, appeal form and the company's standard operating procedures (SOP).		
Reviewed the performance criteria and evidence plan to ensure I clearly understood the instructions and the requirements of the assessment process.		
Identified and accommodated any special needs of the candidate.		
Checked the set-up and resources for the assessment.		
During the assessment I have:		
Introduced myself and confirmed identities of candidates.		
Put candidates at ease by being friendly and helpful.		
Explained to candidates the purpose, context and benefits of the assessment.		
Ensured candidates understood the assessment process and all attendant procedures.		
Provided candidates with an overview of performance criteria to be assessed.		
Explained the results reporting procedure.		
Encouraged candidates to seek clarifications if in doubt.		
Asked candidates for feedback on the assessment.		
Explained legal, safety and ethical issues, if applicable.		
After the assessment I have:		
Ensured candidate is given constructive feedback.		
Completed and signed the assessment record.		
Thanked candidate for participating in the assessment.		

Instructions for Recording Competency

Specifications for Recording Competency

The following specifications apply to the preparation of Evidence Gathering Plans:

- A Competency Recording Sheet must be prepared for each candidate to ensure and demonstrate all Performance Criteria and Competency Elements are appropriately assessed. This Sheet indicates how the Assessor will gather evidence during their assessment of each candidate
- This Competency Recording Sheet is located at the end of the Assessment Plan
- It is the overriding document to record competency
- The Assessor may vary the Competency Recording Sheet to accommodate practical and individual candidate and/or workplace needs
- Assessor must place a tick (✓) in the 'Assessment Method' columns to identify the methods of assessment to be used for each candidate
- Multiple Competency Elements/Performance Criteria may be assessed at the one time, where appropriate
- The assessor and participant should sign and date the Competency Recording Sheet, when all forms of evidence and assessment have been completed
- The assessor may provide and feedback or clarify questions which the participant may have in regards to the assessment grade or findings
- All documents used to capture evidence must be retained, and attached to the Competency Recording Sheet for each candidate for each Competency Unit.

Instructions for Different Assessment Methods

Specifications for Work Project Assessment

These guidelines concern the use of work projects.

The work projects identified in the Training Manuals involve a range of tasks, to be performed at the discretion of the Assessor.

Work project tasks can be completed through any form of assessment as identified in the Trainer and Trainee Manuals and stated at the start of this section.

Assessors should follow these guidelines:

- Review the Work Projects at the end of each 'Element of Competency' in the Trainee Manual to ensure you understand the content and what is expected
- Prepare sufficient resources for the completion of work activities including:
 - Time – whether in scheduled delivery hours or suggested time participants to spend outside of class hours
 - Resources – this may involve technical equipment, computer, internet access, stationery and other supplementary materials and documents
- Prepare assessment location (if done in class) making it conducive to assessment
- Explain Work Projects assessment to candidate, at the start of each Element of Competency. This ensures that participants are aware of what is expected and can collate information as delivery takes place

- Assessors can use the following phrase as a guide (where an 'X' is identified, please input appropriate information):
 "At the end of each Element of Competency there are Work Projects which must be completed. These projects require different tasks that must be completed.
 These work projects are part of the formal assessment for the unit of competency titled X:
- You are required to complete these activities:
 - Using the 'X' method of assessment*
 - At 'X' location*
 - You will have 'X time period' for this assessment*
 - You are required to compile information in a format that you feel is appropriate to the assessment
 - Do you have any questions about this assessment?"
- Commence Work Project assessment:
 - The assessor may give time for participants to review the questions at this time to ensure they understand the nature of the questions. The assessor may need to clarify questions
 - Participants complete work projects in the most appropriate format
 - Participants must submit Work Project evidence to the assessor before the scheduled due date
- Assessor must assess the participant's evidence against the competency standards specified in each Element of Competency and their own understanding. The assessor can determine if the participant has provided evidence to a 'competent' standard
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Oral Question Assessment

These guidelines concern the use of oral questioning.

Assessors should follow these guidelines.

- Prepare Assessment Record for Oral Questioning. One record for each candidate:
 - Enter Student name
 - Enter Assessor name
 - Enter Location
- Familiarise self with Questions to be asked
- Prepare assessment location (table and chairs) making it conducive to assessment
- Explain Oral Questioning assessment to candidate, using the following phrase as a guide (where a 'X' is identified, please input appropriate information):

"These oral questions are part of the formal assessment for the unit of competency titled X.

There are X questions and you are required to answer all of them to the best of your ability and I will record whether or not you have answered correctly.

We have 60 minutes for this assessment.

- I will give you feedback at the end of the assessment
- Do you have any questions about this assessment?"
- Commence Oral Questioning assessment:
 - Complete Assessment Record for the Oral Questioning by:
 - a) Ticking PC or NYC, as appropriate
 - b) Entering 'Remarks' as required
 - c) Completing Oral Questioning within 60 minutes
- Complete Oral Questioning and provide feedback to candidate
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Written Question Assessment

These guidelines concern the use of written questioning.

Assessors should follow these guidelines:

- Familiarise self with Questions and Answers provided
- Print and distribute copies of 'Written Questions' for participants. Ideally this should take place with adequate time for participants to answer all questions before the expected due date
- Explain Written Questioning assessment to candidate, using the following phrase as a guide (where a 'X' is identified, please input appropriate information):

"These written questions are part of the formal assessment for the unit of competency titled X.

There are X questions and you are required to answer all of them to the best of your ability.

You may refer to your subject materials, however where possible try to utilise your existing knowledge when answering questions.

Where you are unsure of questions, please ask the Assessor for further instruction. This may be answering the question orally or asking the assessor to redefine the question.

We have X time for this assessment:

- The due date for completion of this assessment is X
- On this date you must forward the completed questions to the assessor by X time on the date of X
- Do you have any questions about this assessment?"
- The assessor may give time for participants to review the questions at this time to ensure they understand the nature of the questions. The assessor may need to clarify questions
- Participants may record written answers (where possible)
- Participants must submit the written answers to the assessor before the scheduled due date

- Assessor must assess the participant's written answers against the model answers provided as a guide, or their own understanding. The assessor can determine if the participant has answered the questions to a 'competent' standard
- Transcribe results/details to Competency Recording Sheet
- Forward/file assessment record.

Specifications for Observation Checklist

These specifications apply to the use of the Observation Checklist in determining competency for candidates.

Only an approved assessor is authorised to complete the Observation Checklist.

The assessor is required to observe the participant, ideally in a simulated environment or their practical workplace setting and record their performance (or otherwise) of the competencies listed on the Observation Checklist for the Competency Unit.

To complete the Observation Checklist the Assessor must:

- Insert name of candidate
- Insert assessor name
- Insert identify of location where observations are being undertaken
- Insert date/s of observations – may be single date or multiple dates
- Place a tick in either the 'Yes' or 'No' box for each listed Performance Criteria to indicate the candidate has demonstrated/not demonstrated that skill
- Provide written (and verbal) feedback to candidate – as/if appropriate
- Sign and date the form
- Present form to candidate for them to sign and date
- Transcribe results/details to Competency Recording Sheet for candidate
- Forward/file Observation Checklist.

This source of evidence combines with other forms of assessment to assist in determining the 'Pass Competent' or 'Not Yet Competent' decision for the participant.

Specifications for Third Party Statement

These specifications relate to the use of a relevant workplace person to assist in determining competency for candidates.

The Third Party Statement is to be supplied by the assessor to a person in the workplace who supervises and/or works closely with the participant.

This may be their Supervisor, the venue manager, the Department Manager or similar.

The Third Party Statement asks the Supervisor to record what they believe to be the competencies of the participant based on their workplace experience of the participant. This experience may be gained through observation of their workplace performance, feedback from others, inspection of candidate's work etc.

A meeting must take place between the Assessor and the Third Party to explain and demonstrate the use of the Third Party Statement.

To complete the Third Party Verification Statement the Assessor must:

- Insert candidate name
- Insert name and contact details of the Third Party
- Tick the box to indicate the relationship of the Third Party to the candidate
- Present the partially completed form to the Third Party for them to finalise
- Collect the completed form from the Third Party
- Transcribe results/details to Competency Recording Sheet for candidate
- Forward/file Third Party Statement.

The Third Party must:

- Record their belief regarding candidate ability/competency as either:
 - Pass Competent = Yes
 - Not Yet Competent = No
 - Unsure about whether candidate is competent or not = Not Sure
- Meet briefly with the assessor to discuss and/or clarify the form.

This source of evidence combines with other forms of assessment to assist in determining the 'Pass Competent' or 'Not Yet Competent' decision for the candidate.

A separate Third Party Statement is required for each Competency Unit undertaken by the candidate.

Competency standard

UNIT TITLE: MANAGE OPERATIONAL RISK		NOMINAL HOURS: 70
UNIT NUMBER: D2.TTO.CL4.11		
UNIT DESCRIPTOR: This unit deals with skills and knowledge required to identify, evaluate and control operational risks		
ELEMENTS AND PERFORMANCE CRITERIA		UNIT VARIABLE AND ASSESSMENT GUIDE
Element 1: Undertake initial operational risk management procedures 1.1 Establish the <i>context</i> for operational <i>risk</i> 1.2 <i>Identify operational risk</i> 1.3 <i>Assess operational risk</i> 1.4 <i>Identify operational risk control procedures</i> Element 2: Prepare risk management strategies 2.1 Develop written <i>operational risk management policy</i> 2.2 Develop written <i>operational risk management plans</i> 2.3 Develop written <i>operational contingency plans</i> Element 3: Communicate risk management strategies 3.1 <i>Inform staff</i> of operational risk management and contingency plans		Unit Variables The Unit Variables provide advice to interpret the scope and context of this unit of competence, allowing for differences between enterprises and workplaces. It relates to the unit as a whole and facilitates holistic assessment. This unit applies to staff responsible for identifying, evaluating and controlling operational risk, within the labour divisions of the hotel and travel industries and may include: 1. Front Office 2. Housekeeping 3. Food and Beverage Service 4. Food Production 5. Travel Agencies 6. Tour Operation <i>Context</i> may be related to: • Internal operational environment • External operational environment • Factors impacting on operational environments, including weather, customer numbers, time of day, seasonality, type of activity or tour, experience and age of customers, ability and physical condition of customers, equipment being used and location

3.2 Conduct <i>staff training</i> 3.3 Prepare <i>resources to inform customers of operational risk management plans and operational contingency plans</i> Element 4: Implement risk management strategies 4.1 Plan for the introduction of written risk management plans 4.2 Implement risk management plans as written Element 5: Manage on-going risk exposure 5.1 Identify new operational risks and changes in identified operational risk 5.2 Monitor implementation of existing plans and strategies 5.3 Ensure <i>near miss events</i> are identified, recorded and analysed 5.4 Evaluate implementation of existing plans and strategies 5.5 Revise existing plans and strategies	• Legal requirements of the host country in relation to operational risk, including duty of care, legal liability and occupational health, safety and welfare • Identifying operational risk criteria • Stakeholders who may be at risk, including customers, staff and members of the public. <i>Risk</i> may encompass: • Personal health and injury • Product malfunction or failure, including systems and equipment • Damage to property and equipment, including customer property • Industrial dispute • Professional incompetence • Natural disasters • Security failure • Financial loss • Political events • Terrorism. <i>Identify operational risk</i> should include: • Research to reveal workplace risk • Determining where operational risk may occur • Determining when operational risk may occur • Determining how operational risk may occur • Determining why operational risk may occur • Determining what operational risk may occur.
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	<i>Assess operational risk</i> should include: • Determining the likelihood of an operational risk becoming a reality • Determining the consequences of an operational risk becoming a reality • Determining the level of risk based on likelihood and consequences • Assessing the legal, material and financial exposure of the business to damage or claims if an operational risk becomes a reality • Deciding if the operational risk is to be addressed or allowed to remain unaddressed • Considering risk sharing options • Considering and evaluating operational risk control options • Evaluating existing operational risk control strategies. <i>Identify operational risk control procedures</i> should relate to: • The hierarchy of risk control, including elimination, substitution, isolation, changes to plant, procedures and workplace, administrative controls, personal protective clothing and equipment • Rating the cost of implementation of viable options • Sourcing the requirements for operational risk control implementation, including expertise, physical resources and knowledge • Selecting protocols to be put in place to control identified operational risk • Seeking input from stakeholders • Deciding on operational risk management processes to be adopted. <i>Operational risk management policy</i> should include • Reasons for the enterprise wanting or needing to manage operational risk • Objectives of the operational risk management strategies • Statements regarding the limits of operational risk the enterprise will allow or engage in
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	• The ways in which the enterprise will manage operational risk • Allocation of responsibilities for operational risk management • Identification of reviews of existing operational risk management strategies • Statement by management committing the enterprise to managing operational risk. <i>Operational risk management plans</i> should include: • Statement and description of the operational risks that are to be managed • Allocation of responsibilities and resources to attain the objectives of the plan • Descriptions of action to be taken in the event of an operational risk becoming a reality, including specific actions by nominated persons, sequencing of actions and identification of resources to assist in risk abatement/treatment • Preventative action to be taken to reduce the chance of an operational risk becoming a reality • Steps to eliminate unacceptable operational risks, including priorities for doing so • Details regarding the application of identified risk control measures to operational risks that cannot be eliminated. <i>Operational contingency plans</i> should include: • Details of the actions the enterprise will take when an operational risk has become a reality and loss or damage has occurred, including identification of necessary scopes of authorities, changes to standard operating procedures, limitations on actions, contact with outside agencies including the media • Processes to retrieve the situation and re-establish normal operating conditions • Specific actions to retain customers and market share • Specific actions to maintain confidence of the industry, stakeholders and customers in the enterprise • Damage limitation and damage control protocols. <i>Inform staff</i> may include:
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	• Providing and explaining written copies of plans • Advising staff regarding the introduction of plans • Detailing procedures for notification of situations that pose a risk to operations. <i>Staff training may include:</i> • Internal and external practical training in implementing designated aspects of plans • Conducting practices and drills • Providing opportunity for staff to apply identified operational risk control, management strategies and techniques • Case studies and role plays • Simulating operational risk in situations that replicate realistic conditions. <i>Resources to inform customers of operational risk management plans and operational contingency plans may include:</i> • Production of emergency management plans • Development of operational risk management strategies and plans in formats that can be included in induction and other in-house training • Preparation of pre-prepared statements ready to communicate to external providers, suppliers and other key stakeholders in the event that contingency plans need to be implemented • Preparation of operational risk management materials for distribution to customers. <i>Plan for the introduction may include:</i> • Conducting staff meetings to explain the need for, the introduction of and the application of operational risk management strategies • Providing support for the introduction of operational risk management strategies • Acquiring the resources to support the introduction of operational risk management strategies
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	• Responding to staff queries regarding the introduction of operational risk management strategies • Re-assuring staff regarding the introduction of operational risk management strategies. <i>Implement risk management plans</i> must include: • Putting into place and practice the risk management strategies and plans developed to address identified risk • Ensuring the written plans are adhered to • Taking remedial action to bring out of control risk management strategies and plans back under control. <i>Identify new operational risks and changes in identified operational risk</i> may include: • Encouraging staff participation in risk identification, assessment and control • Establishing a formal internal framework for communication and the management of operational risk • Seeking feedback on risk from customers and key stakeholders • Inspecting equipment, processes, facilities and the business environment to identify changes to and the emergence of, operational risk • Recording and communicating identified new operational risk and changes to identified operational risk, to management. <i>Monitor implementation</i> may include: • Observing workplace practices • Recording relevant operational risk-related data and maintaining records • Identifying and rewarding instances of compliance with operational risk management plans and strategies • Identifying and modifying behaviour where instances of non-compliance with operational risk management plans and strategies are observed
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- Supporting attempts to comply with operational risk management strategies – including the provision of financial support, time release and on-going training.

Near miss events refer to:

- Incidents/events that did not result in actual injury, damage or other negative impact, but which in other circumstances may have resulted in injury to a person, damage to property, or some other negative impact on the organisation.

Evaluate implementation may include:

- Judging the actual effect of the operational risk management strategies against initial objectives
- Quantifying the advantages and disadvantages that have flowed from the implementation of operational risk management strategies
- Deciding on changes that need to be made to existing plans and strategies
- Identifying changes that have occurred in the operational risk environment in which the business operates.

Revise existing plans and strategies may include:

- Involving stakeholders in the revision process
- Re-writing plans and strategies on the basis of formal evaluations of previous plans
- Communicating changes to staff
- Providing training and/or re-training, as appropriate, to support the revised plans and strategies.

Assessment Guide

The following skills and knowledge must be assessed as part of this unit:

	• Enterprise policies and procedures in regard to risk management including risk identification, risk assessment and risk control • Knowledge of the principles of risk identification, risk assessment and risk control • Knowledge of the legal and financial implications relating to operational risk management • Ability to use research techniques to identify threats and risks • Knowledge of occupational health, safety and welfare, and environmental safety • Knowledge about the formulation of strategic, tactical and operational plans. Linkages To Other Units • Manage legal requirements for business compliance • Manage physical assets and infrastructure • Implement occupational health and safety procedures • Follow safety and security procedures • Develop and implement a business plan • Plan and establish systems and procedures • Develop and implement operational plans • Establish and maintain a safe and secure workplace • Establish and maintain safe touring conditions • Lead tour groups in a responsible manner • Maintain tourism vehicles in safe and clean operational condition • Operate and maintain a 4-WD vehicle in safe working condition • Operate tours in remote areas • Develop and manage business strategies. Critical Aspects of Assessment Evidence of the following is essential:
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	• Understanding of host enterprise policies and procedures in regard to operational risk management including risk identification, risk assessment and risk control • Understanding of the legal and financial implications regarding operational risk management • Demonstrated ability to identify and assess risk in a nominated work environment and suggest effective and viable operational risk control procedures to address each identified risk • Demonstrated ability to produce a written operational risk management policy for a nominated enterprise, which may be the host employer • Demonstrated ability to produce an effective, written and viable operational risk management plan to address a nominated operational risk in a nominated enterprise • Demonstrated ability to effectively and efficiently communicate the contents of a nominated operational risk management plan to a given number of people • Demonstrated ability to follow the requirements of a nominated operational risk management plan in a designated business under simulated conditions where a risk has been induced • Demonstrated ability to monitor and evaluate the implementation of an operational risk management plan under prescribed conditions and integrate the findings into a revised written operational risk management plan. Context of Assessment Assessment must ensure: • Actual or simulated workplace application of operational risk management activities.
	Resource Implications Training and assessment must include a real or simulated workplace, real people and real or simulated risks; and access to workplace standards, procedures, policies, guidelines, tools

	and equipment. Note: the safety of candidates or other people must not be jeopardised as a result of any training or assessment for this unit. Assessment Methods The following methods may be used to assess competency for this unit: • Observation of practical candidate performance • Portfolio of written material produced, including operational risk management policy, operational risk management plan, operational contingency plan, feedback sheets to support other assessment activities • Role plays • Case studies • Oral and written questions • Third party reports completed by a supervisor • Project and assignment work • Simulations. Key Competencies in this Unit <i>Level 1 = competence to undertake tasks effectively</i> <i>Level 2 = competence to manage tasks</i> <i>Level 3 = competence to use concepts for evaluating</i>		
	Key Competencies	Level	Examples
	Collecting, organising and analysing information	3	Conduct risk identification and assessment activities
	Communicating ideas and information	3	Produce operational risk management policy and plans

	Planning and organising activities	3	Determine the implementation for risk management plans
	Working with others and in teams	3	Consult with others on risk control options
	Using mathematical ideas and techniques	2	Calculate the probability of risk
	Solving problems	3	Address identified risk
	Using technology	2	Use risk control technologies and equipment

Oral questions

Student name	
Assessor name	
Location/venue	
Unit of competency	Manage operational risk D2.TTO.CL4.11
Instructions	1. Ask student questions from the attached list to confirm knowledge, as necessary 2. Place tick in boxes to reflect student achievement (Pass Competent 'PC' or Not Yet Competent 'NYC') 3. Write short-form student answer in the space provided for each question.

Questions	Response	
	PC	NYC
1. Tell me how you would establish the context for operational risk in a given situation.	☐	☐
2. Give me an example of how you have identified operational risk for a given situation.	☐	☐

Questions	Response	
	PC	NYC
3. Describe a workplace situation where you have assessed operational risk explaining what was involved in this process.	☐	☐
4. Provide an example of a situation where you have identified operational risk control procedures for identified operational risk.	☐	☐
5. Describe an operational risk management policy you have written explaining how you developed it.	☐	☐

Questions	Response	
	PC	NYC
6. Describe a set of operational risk management plans you have written explaining what they contained and what they were established to address.	☐	☐
7. Identify a contingency plan for risk management you have written explaining why it was developed, what it contained and when it would need to be implemented.	☐	☐
8. Tell me how you have informed staff of the operational risk management and contingency plans they need to be aware of.	☐	☐

Questions	Response	
	PC	NYC
9. Describe staff training you have provided in order to train staff in relation to risk management/risk control protocols.	☐	☐
10. Tell me about resources you have prepared to inform customers of operational risk management plans and operational contingency plans.	☐	☐
11. Describe a situation where you introduced written risk management plans and explain the planning you undertook to prepare for their implementation.	☐	☐

Questions	Response	
	PC	NYC
12. Tell me about the practical implementation of the written risk management plans identified in your answer to the previous question: What was involved? Who was involved? What problems/issues arose?	☐	☐
13. Give me examples of what you have done to identify new operational risks and changes in identified operational risk in a workplace context.	☐	☐
14. Tell me how you have monitored implementation of existing risk management plans and strategies in your workplace.	☐	☐

Questions	Response	
	PC	NYC
15. Give me an example of a situation where you identified, recorded and analysed a near miss event in your workplace as part of ongoing risk management.	☐	☐
16. Describe for me a situation where you have evaluated the implementation of existing risk management plans and strategies: What was involved? What did you do? What were the outcomes?	☐	☐
17. Tell me what you do to revise existing risk management plans and strategies explaining what triggers these reviews and identifying who was involved.	☐	☐

Written questions

Manage operational risk – D2.TTO.CL4.11

Student Name: _____

Answer all the following questions and submit to your Trainer.

1. List the four (4) levels that risk can operate on and give an example for each.

2. Risk generally comes from four (4) main areas. Identify each and give an overview.

3. Research regulations and available sources of information on Occupational health, safety and welfare and environmental safety in your jurisdiction. List a minimum of four (4).

4. Provide four (4) techniques you might use to identify risks.

5. According to ISO31000, what is the risk assessment equation?

6. What is the name of the tool we use to assess risk?

7. Identify three (3) financial consequences of risk.

8. Identify three (3) legal consequences of risk.

9. When talking about operational risk control procedures, what does the acronym ALARP stand for?

10. List the key components in the hierarchy of control. (E,S,I,C,A,P)

11. What is the purpose of a risk management policy?

12. What information should be contained in a risk management plan?

13. What is the purpose of a contingency plan?

14. Using the hierarchy of control consider how you may treat each of the following risks.

a. Slippery entrance foyer when it is raining due to wet shoes and umbrellas

b. A Strong smelling chemical for which there is no substitute

c. A broken chair

d. An electrical fault in a guest room

15. Describe three (3) stakeholders within your business and the method you would consider for receiving their input on risk.

16. Why must risk management plans be made available to all staff?

17. What is the purpose of a hazard report form?

18. Describe an effective way to train staff on the following risks -

a. Evacuation procedures

b. Dealing with suspicious customers

c. Safe use of a piece of equipment

d. Fire in a kitchen

19. For the following workplace hazards describe the possible injury or illness for each and what actions should be taken to reduce the risk of injury or illness.

Hazard	Possible injury or illness	Actions taken to reduce the risk of injury or illness
Violent passenger or guest		
Spilt drink in guest area		
Plates coming from the kitchen too hot		
Boxes being stored on the floor in store rooms		
Sitting at a desk for too long		
Working for 6 hours without a break.		

20. Give an example of a situation where it would be necessary to inform customers of your operational risk management plan and explain the resource you would use to communicate this information to them.

21. In a staff meeting to implement a new risk management plan, what three (3) points should you remember?

22. What measures might you take to bring a plan back under control if it isn't being adhered to by staff?

23. Give two (2) examples of how might identify a new operational risks and/or changes to current operational risks.

24. Why is it important to monitor existing plans and strategies?

25. What is a near miss? Provide an example. Why is it important that near misses are recorded and analysed?

26. Why may it be necessary for current risk management plans to be evaluated and updated?

Answers to written questions

Manage operational risk – D2.TTO.CL4.11

The following are model answers only – Trainers/Assessors must use discretion when determining whether or not an answer provided by a Student is acceptable or not.

1. List the four (4) levels that risk can operate on and give an example for each.

1. Strategic which relates to actions taken at senior management level such as a decision to open a new hotel. Risk may be manifested through incorrect assumptions upon which longer term decisions are made
2. Organisational which relate to the management structures, systems and processes that the organisation adopts to achieve its strategic goals. Risks in this area may arise due to poor management of systems and processes
3. Operational which is linked to a breakdown in systems within an organisation. Such risks may include fraud, IT system failure and power outages
4. Task risks which result from an individual's work tasks. This may be something like a staff member forgetting to take a drink to a room thus resulting in the hotel having a poor reputation.

2. Risk generally comes from four (4) main areas. Identify each and give an overview.

1. People, for example booking errors that result in loss of revenue
2. Processes, any current system or organisational process
3. Technology, a system might crash or could be hacked
4. Environment, GFC, SARS.

3. Research regulations and available sources of information on Occupational health, safety and welfare and environmental safety in your jurisdiction. List a minimum of four (4).

Site and location specific, assessor to use judgement.

4. Provide four (4) techniques you might use to identify risks.

Eight examples are listed in the manual:

1. Analyse incidents
2. Look at historical data
3. Get data from SWOT analysis
4. Audits and inspections
5. Surveys and questionnaires
6. Reviewing legislations, regulations and codes of practice
7. Workshops
8. Collecting organisational statistics.

5. According to ISO31000, what is the risk assessment equation?

Risk = Consequence + Likelihood.

6. What is the name of the tool we use to assess risk?

Risk matrix.

7. Identify three (3) financial consequences of risk.

Examples may include, fines, loss of revenue, compensation, reimbursements.

8. Identify three (3) legal consequences of risk.

Examples may include liability, loss of reputation, fines, sued, and litigation.

9. When talking about operational risk control procedures, what does the acronym ALARP stand for?

As Low As Reasonably Practicable.

10. List the key components in the hierarchy of control. (E,S,I,C,A,P)

Elimination, Substitution, Isolation, Changes to plant, procedures and workplace, Administrative controls and Personal Protective Equipment - PPE.

11. What is the purpose of a risk management policy?

A policy is a statement about the culture of an organisation and gives an explanation of why activities are to be undertaken. They will also provide guidelines for action and a mechanism for dealing with issues as they arise.

A risk management policy should have two main purposes. The first is to identify, reduce and prevent incidents and the second to review past incidents with a mind to prevent future occurrences.

12. What information should be contained in a risk management plan?

A good Risk Management Plan will include the following:

- Description of risks to be managed
- Allocation of resources and responsibilities
- Action to be taken
- Preventative action
- Steps to eliminate unacceptable operational risks
- Risks that cannot be eliminated.

13. What is the purpose of a contingency plan?

A Contingency Plan is an action plan designed to assist an organisation effectively respond to a significant future event or situation that may or may not happen. This plan will provide detail and directions on appropriate steps to take in situations.

14. Using the hierarchy of control consider how you may treat each of the following risks.

Suggested responses:

- Slippery entrance foyer when it is raining due to wet shoes and umbrellas - Changes to plant, procedures and workplace
- A Strong smelling chemical for which there is no substitute - PPE
- A broken chair - Eliminate
- An electrical fault in a guest room - Isolate.

15. Describe three (3) stakeholders within your business and the method you would consider for receiving their input on risk.

Examples include:

- Staff, Guests/customers, Suppliers
- Methods, online forums, meetings, 1:1 consultation.

16. Why must risk management plans be made available to all staff?

So all staff are aware of the processes and understand their role and how they should contribute.

17. What is the purpose of a hazard report form?

To record hazards and health and safety issues.

18. Describe an effective way to train staff on the following risks – suggested responses.

- Evacuation procedures - Drills
- Dealing with suspicious customers – role play/simulation
- Safe use of a piece of equipment – role play/simulation
- Fire in a kitchen role play/simulation.

19. For the following workplace hazards describe the possible injury or illness for each and what actions should be taken to reduce the risk of injury or illness.

Hazard	Possible injury or illness EXAMPLES Trainee responses will be varied	Actions taken to reduce the risk of injury or illness EXAMPLES Trainee responses will be varied
Violent passenger or guest	Injury to self/staff/guests/customers	Isolate, obtain emergency services assistance.
Spilt drink in guest area	Slips and falls, sprains and strains	Wet floor sign, clean up spill immediately.
Plates coming from the kitchen too hot	Burns, dropped plates	Use cloths or trays to carry food, reduce temperature of plate warmer.
Boxes being stored on the floor in store rooms	Trip hazard, sprains and strains, breaks	Store on shelves at a good height for weight of boxes.
Sitting at a desk for too long	Muscle and eye strain	Encourage breaks, stretching exercises
Working for 6 hours without a break.	Accidents could be varied due to concentration lapses	Enforce breaks

20. Give an example of a situation where it would be necessary to inform customers of your operational risk management plan and explain the resource you would use to communicate this information to them.

Answers will be varied and may include Emergency Evacuation plan.

21. In a staff meeting to implement a new risk management plan, what three (3) points should you remember?

- Make the objectives clear. People need to know exactly why they need to be there
- Ensure a strong agenda is provided well before the meetings
- Only invite people who have a strong need to be there. If there are a lot of people required to attend it may be better to distribute risk management information at a number of meetings across various departments
- Stick to the agenda and ensure that no attendees hijack this and prevent the purpose of the meeting being achieved. Make sure that the meeting starts on time and ends on time. Badly run meetings turn people off attending or focusing when they are at them. Providing information to staff on risk management via meetings will be an ongoing process so we want staff to be keen to attend in the future.

22. What measures might you take to bring a plan back under control if it isn't being adhered to by staff?

- Re-training on how to understand and use the plan
- Talking about the plan at staff meetings and briefings
- Place relevant sections of the plan on staff notice boards and in areas where it can be seen e.g. What to do in case of injury, how to report incidents, what to do if there is a need for evacuation
- Supervisors and managers to ensure plans are being adhered to in the workplace whilst staff are undertaking their duties.

23. Give two (2) examples of how you might identify a new operational risks and/or changes to current operational risks.

As part of the ongoing process of managing risk exposure, a business must be prepared to carry out inspections across a wide range of functions and processes. This will include:

- **Processes** - How have changes in the way work is done or procedures are followed opened up new areas of risk for the business?
- **Equipment** - Changes to equipment or the way it is used needs to be considered
- **Facilities** - Has there been changes to facilities which have altered certain work practices and created new risk profiles?
- **Business Environment** - Changes in the environment within which the business operates may imply a new range of threats based on this.

24. Why is it important to monitor existing plans and strategies?

Suggested response – to ensure workplace practices are being observed and to identify and modify behaviour that is non-compliant.

25. What is a near miss? Provide an example. Why is it important that near misses are recorded and analysed?

A near miss event refers to incidents and events that did not result in actual injury, damage or other negative impact, but which in other circumstances may have resulted in injury to a person, damage to property, or some other negative impact on the organisation.

Near misses should be recorded and analysed to ensure that the risks associated with the near miss are addressed and processes are put in place where necessary to reduce the risk.

26. Why may it be necessary for current risk management plans to be evaluated and updated?

- Deterioration in economic conditions – an economic slowdown could produce risks related to lower patronage in the business which in turn could impact on financial viability
 - Socioeconomic changes affecting customers and stakeholders – a change in customers preferences based on social changes could produce new forms of risk. A greater number of single people travelling may be a risk if the resort does not cater for this and misses out on business
 - Significant technology advances – changes in technology could create risks based around a business not keeping up to date and finding itself at risk of losing customer. Maybe it is because they don't provide free Wi-Fi and this causes a reputational loss.
-

Observation checklist

Student name	
Assessor name	
Location/venue	
Unit of competency	Manage operational risk D2.TTO.CL4.11
Dates of observation	
Instructions	- Over a period of time observe the student completing each of the following tasks: - Undertake initial operational risk management procedures - Prepare risk management strategies - Communicate risk management strategies - Implement risk management strategies - Manage on-going risk exposure - Enter the date on which the tasks were undertaken - Place a tick in the box to show they completed each aspect of the task to the standard expected in the enterprise - Complete the feedback sections of the form, if required.

Did the candidate	Yes	No
Element 1: Undertake initial operational risk management procedures		
Establish the context for operational risk	☐	☐
Identify operational risk	☐	☐
Assess operational risk	☐	☐
Identify operational risk control procedures	☐	☐
Element 2: Prepare risk management strategies		
Develop written operational risk management policy	☐	☐
Develop written operational risk management plans	☐	☐
Develop written operational contingency plans	☐	☐

Did the candidate	Yes	No
Element 3: Communicate risk management strategies		
Inform staff of operational risk management and contingency plans	☐	☐
Conduct staff training	☐	☐
Prepare resources to inform customers of operational risk management plans and operational contingency plans	☐	☐
Element 4: Implement risk management strategies		
Plan for the introduction of written risk management plans	☐	☐
Implement risk management plans as written	☐	☐
Element 5: Manage on-going risk exposure		
Identify new operational risks and changes in identified operational risk	☐	☐
Monitor implementation of existing plans and strategies	☐	☐
Ensure near miss events are identified, recorded and analysed	☐	☐
Evaluate implementation of existing plans and strategies	☐	☐
Revise existing plans and strategies	☐	☐
Did the student's overall performance meet the standard?	☐	☐

Feedback to student and trainer/assessor**Strengths:****Improvements needed:****General comments:****Candidate signature****Date****Assessor signature****Date**

Third Party Statement

Student name:			
Name of third party:		Contact no:	
Relationship to student:	☐ Employer ☐ Supervisor ☐ Colleague ☐ Other <i>Please specify: _____</i> <i>Please do not complete the form if you are a relative, close friend or have a conflict of interest]</i>		
Unit of competency:	Manage operational risk D2.TTO.CL4.11		
The student is being assessed against industry competency standards and we are seeking your support in the judgement of their competence. Please answer these questions as a record of their performance while working with you. Thank you for your time.			
Do you believe the trainee has demonstrated the following skills? <i>(tick the correct response]</i>	Yes	No	Not sure
Establishes workplace context for operational risk identifying, assessing and developing controls for identified operational risk	☐	☐	☐
Develops written risk management policies, plans and contingency plans	☐	☐	☐
Communicates risk management requirements to staff including the provision of relevant support training	☐	☐	☐
Prepares resources to inform customers of operational risk management plans and operational contingency plans	☐	☐	☐
Plans for and introduces approved, written risk management plans	☐	☐	☐
Monitors the workplace on an ongoing basis to identify and address new and changed risk	☐	☐	☐
Ensures near miss events are identified, recorded and analysed	☐	☐	☐
Evaluates implementation of existing risk management plans and strategies	☐	☐	☐
Revises existing risk management plans and strategies as required to address changed circumstances	☐	☐	☐

Comments/feedback from Third Party to Trainer/Assessor:

Third party signature:

Date:

Send to:

Competency recording sheet

Name of Student		
Name of Assessor/s		
Unit of Competency	Manage operational risk	D2.TTO.CL4.11
Date assessment commenced		
Date assessment finalised		
Assessment decision	Pass Competent / Not Yet Competent (Circle one)	
Follow up action required (Insert additional work and assessment required to achieve competency)		
Comments/observations by assessor/s		

Place a tick (✓) in the column to reflect evidence obtained to determine Competency of the student for each Performance Criteria.

Element & Performance Criteria	Observation of skills	3rd Party Statement	Oral Questions	Written Questions	Work Projects	Other
Element 1: Undertake initial operational risk management procedures						
Establish the context for operational risk						
Identify operational risk						
Assess operational risk						
Identify operational risk control procedures						
Element 2: Prepare risk management strategies						
Develop written operational risk management policy						
Develop written operational risk management plans						
Develop written operational contingency plans						
Element 3: Communicate risk management strategies						
Inform staff of operational risk management and contingency plans						
Conduct staff training						
Prepare resources to inform customers of operational risk management plans and operational contingency plans						

Place a tick (✓) in the column to reflect evidence obtained to determine Competency of the student for each Performance Criteria.

Element & Performance Criteria	Observation of skills	3rd Party Statement	Oral Questions	Written Questions	Work Projects	Other
Element 4: Implement risk management strategies						
Plan for the introduction of written risk management plans						
Implement risk management plans as written						
Element 5: Manage on-going risk exposure						
Identify new operational risks and changes in identified operational risk						
Monitor implementation of existing plans and strategies						
Ensure near miss events are identified, recorded and analysed						
Evaluate implementation of existing plans and strategies						
Revise existing plans and strategies						
Candidate signature:			Date:			
Assessor signature:			Date:			

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